7 Gina finds out the price of a CD box set in three different countries.

The price is

£98 in the UK
$134.99 in the USA
€139.99 in Germany

The exchange rates are

£1 = $1.43
€1 = £0.73

Gina wants to pay the cheapest price for the box set.

(a) From which country should Gina buy the box set?
You must show how you get your answer.

USA

USD	GBP
1.43	1
134.99	94.4

1 mark
USA in GBP

Germany

EUR	GBP
1	0.73
139.99	102.19

1 mark
Germany in GBP

134.99 ÷ 1.43

≈ £94.40

139.99 × 0.73 ≈ £102.19

USA is cheapest.

(3)

1 mark
USA cheapest

Gina lives in the UK.

(b) Why might your answer to (a) **not** be the best country for Gina to buy the box set from?

Postage or import charges could make buying from the USA cost more.

1 mark
Extra delivery costs

(1)

(Total for Question 7 is 4 marks)